NOTES TO LILY CORPORATION FINANCIAL STATEMENT SPREADSHEET 2015 – 2025, JOB DESCRIPTIONS AND PAYMENTS TO FAMILY FROM THE BUSINESS (April 20, 2025)

Spreadsheet Notes:

1. 2024 P & L, Line 5000 COGS: Due to bookkeeping errors made by a new employee in 2024, the COGS reported for the year 2024 is understated. The errors consisted of duplicate bookkeeping entries to the inventory account made repeatedly over the year 2024. One debit entry to the inventory account was made each time an item was received from a vendor in response to a P.O. A second debit entry to the inventory account was made for the same item when the corresponding invoice was paid. These duplicate entries resulted in an overstatement of inventory. When the difference between beginning and ending inventories was used to determine COGS, the result was an understatement of COGS. Using the average of ratio of sales to COGS for 2025, 2023, 2022, 2021 and 2020, the correct COGS for 2024 is estimated to be $115,901 and inventory is overstated by $108,218. Accordingly Net Income for 2024 should be ($124,828).

2. 2025 P & L, Line 5345, Inventory Adjustment: Following a hand count of physical inventory performed during the year 2025, inventory was adjusted downward by $200,387 in order to bring book value of inventory into alignment with physical inventory. Of this amount, $108,218 was estimated to be due to the 2024 bookkeeping errors. The balance of $92,169 was due to loss in value from physical loss or damage and obsolescence over the entire history of the business since 1982. This loss in value should be amortized over a reasonable period and not absorbed in its entirety against in 2025. Amortizing inventory losses over a period of 20 years results in a decrease of $4,608 for each of the preceding 20 years. Also, the correction of the 2024 bookkeeping errors in the amount of $108,218 should affect 2024 P & L and not 2025. Considering the above, 2025 Net Income is understated by $195,779 and should be viewed as $73,328.

3. Injection Mold Maintenance, P & L Line 5440: There are ten molds used with the injection molding machine. It is used to manufacture approximately 25 high and low density plastic and nylon parts. In 2024 the cost of a new material dryer used with the injection molding machine, approx. $17,000, was misapplied to the mold maintenance account. A subsequent correction was made and the cost was moved to the equipment purchases category. Also in 2024 and 2025 repairs in the aggregate amount of $16,000 were performed on two of the molds. The need for this type of major mold repair has occurred approximately every 10-12 years.

4. Balance Sheet Line 1310 Inventory: Parts inventory is maintained at a one to two years supply. Parts are purchase in large quantities in order to take advantage of quantity discounts and because the suppliers of some custom manufactured parts require minimum orders. None of the inventory has a shelf life. See also Paragraphs 1 and 2 above.

Employee Job Descriptions:

1. Robert Trout (Bob): President of the company. He is involved in every aspect of the business including sales, training, taking orders, customer service, preparing quotations and presenting educational seminars on products to trade groups.
2. Dave K: Shipping/receiving, purchasing, welding, injection mold operation.
3. Dave J: Sales, order entry, IT, answering customer questions, on-site training, equipment repair.

NOTES TO LILY CORPORATION FINANCIAL STATEMENT SPREADSHEET 2015 – 2025,
JOB DESCRIPTIONS AND PAYMENTS TO FAMILY FROM THE BUSINESS
(April 20, 2025)

4. Maggie M: Office manager, order entry, AR/AP.
5. Julian P: New equipment assembly, equipment repair.
6. Greg E: Equipment repair, rental equipment maintenance, injection mold operation, welding.

Payments and Benefits to Family Members Included in P & L – 2025 (prior years are similar):

1. Robert Trout: $184,000.
2. Lily Trout (not active in business operation) Total: $86,098.
3. Mike Trout (not active in business operation) Total $3,804.